



WEEK 1 • DAY 5

Capstone

A working QPM, ready to produce policy-relevant scenarios

01

Build

Assemble the calibrated QPM end-to-end

02

Run

Generate Case A, Case B, and Market Reference scenarios

03

Communicate

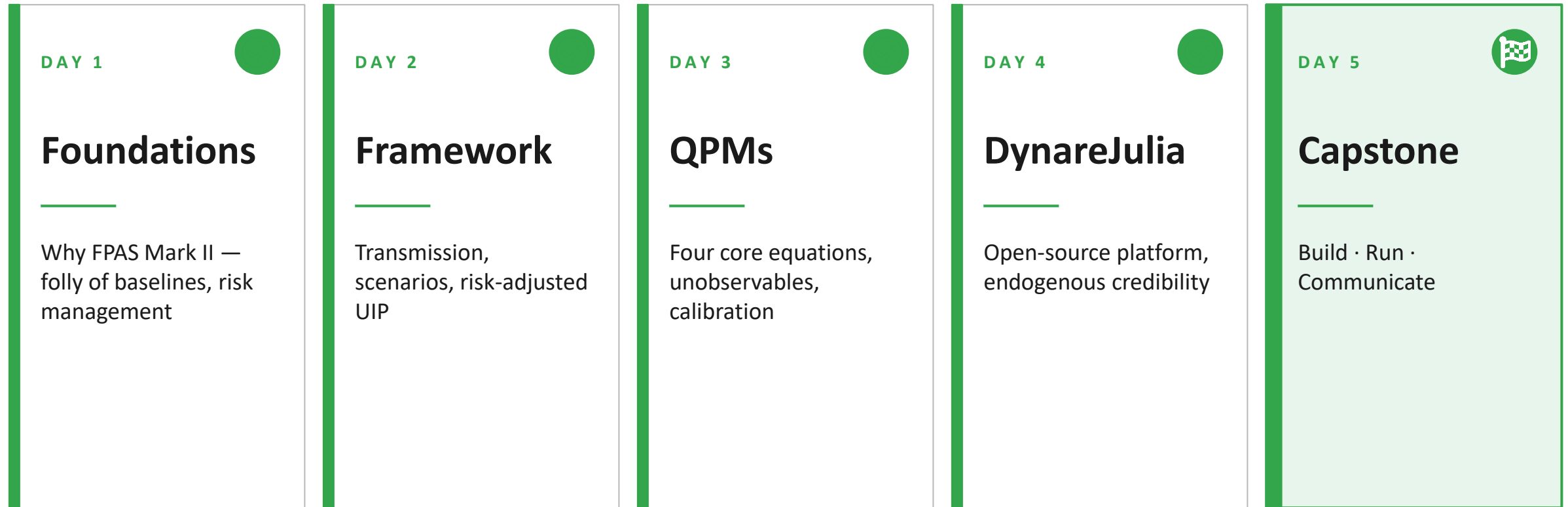
Present trade-offs as a policy-ready briefing



DAY 5 · FRIDAY, JUNE 12, 2026

Where We Are

Four days of building blocks — today they come together





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Today's Deliverables

Three concrete outputs you'll leave with — and use in your home institution

01



A Calibrated QPM

A complete, runnable DynareJulia model of a small open economy — country-tailored and ready to extend.

- IS, Phillips, policy rule
- Endogenous credibility

02



A Scenario Set

Three internally-consistent scenarios produced from your model, with charts and tables ready for review.

- Case A — Hawkish
- Case B — Dovish
- Market Reference

03



A Policy Briefing

A short, decision-grade briefing communicating the trade-offs to a hypothetical Board.

- Risk narrative
- Reaction function logic
- Recommendation under uncertainty



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Today's Timeline

A compressed policy cycle — five blocks from first run to final presentation

Build	Finalize QPM equations and parameters; first run; verify steady state and impulse responses.
Calibrate to country	Tailor parameters to a chosen economy; check moments and historical fit.
Run scenarios	Produce Case A, Case B, and Market Reference paths; export charts and tables.
Draft briefing	Build the policy narrative — risks, trade-offs, recommendation.
Present & discuss	Team presentations to a mock Board; peer feedback and group debrief.



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Briefing Template

The structure your team's policy briefing will follow — same shape used by leading central banks

01	02	03	04	05
Current conditions Where the economy stands — data, momentum, risks already realised.	Scenario set Case A, Case B, Market Reference — what each assumes, what each implies.	Trade-offs What policy gains and losses across scenarios; where regret is concentrated.	Recommendation The reaction function — not a single rate path, but the response to incoming data.	Communication Headline message and language for the press release; what to emphasise, what to caveat.

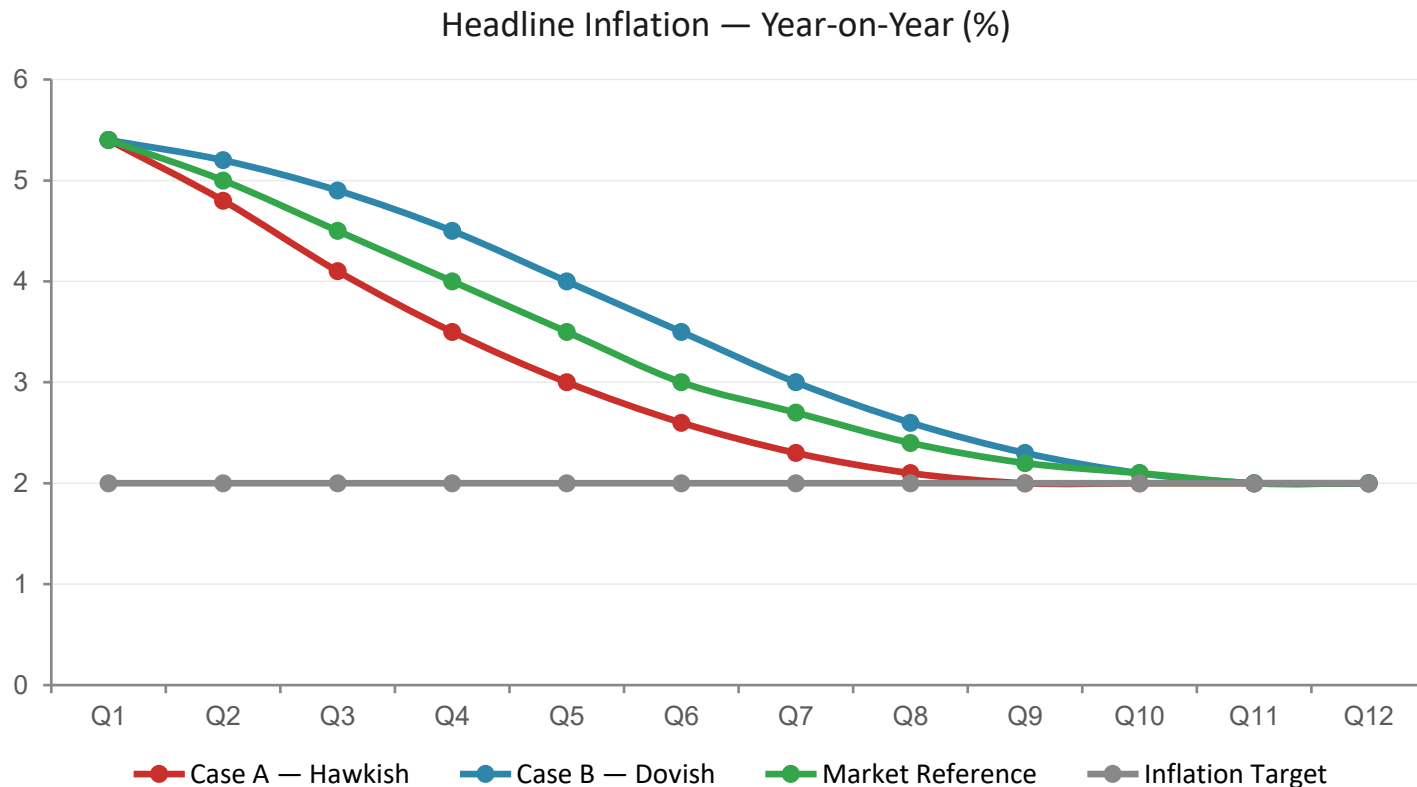
The same structure works for an MPC briefing, a press release, an annex chapter, or a public speech.



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Sample Output: Inflation Paths

What your team's scenarios will look like — three internally-consistent paths around the target



THE STORY THIS TELLS

Three plausible paths to target

- All three return inflation to the 2% target — but the route, speed, and cost differ
- Hawkish path acts faster but tighter; risks more output sacrifice
- Dovish path is gentler on activity; risks expectations un-anchoring
- Market reference disciplines the analysis — what does the market already expect?



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Presenting to the Board

How team presentations are evaluated — and what good looks like

EVALUATION CRITERIA



Internal consistency

Do the scenarios stand up? Is each one a coherent economic story?



Treatment of uncertainty

Are risks named honestly? Are tail scenarios considered when warranted?



Clarity of communication

Could a non-modeler understand the trade-offs and the recommendation?



Decision-grade reasoning

Does the team frame a reaction function — not a point forecast?



AVOID THESE PITFALLS

Common mistakes in scenario presentations

- Treating one scenario as "the" forecast — defeats the purpose of Mark II
- Burying the trade-off in technical language
- Recommending a fixed rate path instead of a contingent reaction
- Ignoring tail risks when the data already signals them
- Hiding modelling assumptions that materially drive the result



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Five Takeaways from the Week

What you carry back to your institution

01 Replace baselines with scenarios

The shift from one number to a disciplined set of stories is the heart of FPAS Mark II.

02 Make uncertainty explicit

Unobservables and credibility regimes belong in the open, not buried in assumptions.

03 Treat policy as risk management

Aim for least regret across plausible futures — not optimal response to a single one.

04 Use the right tools for the job

DynareJulia gives you open, fast, reproducible modeling — the platform matches the workflow.

05 Communicate the reaction function

Decision-makers and the public need contingent logic, not a fixed rate path.



Congratulations.

You finished Week 1.



Take it home

Re-run the workflow on your own country's data. Calibrate, scenario-test, brief.



Week 2 (optional)

Forecasting, scenario building & risk analysis — full policy process simulation in one week.



Stay connected

Join the BPP community — courses, working papers, and ongoing peer support.

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